

Number found. I found 1,196 double tops in 692 stocks starting from July 1991 to February 2020. Not all stocks covered the entire span, and some no longer trade. There were too few double tops appearing in bear markets, so I decided not to cover them in this edition. That's why the table shows fewer found. The statistics only apply to bull markets.

Reversal (R), continuation (C) occurrence. By definition, double tops act as reversals of the prevailing price trend: Price rises into the pattern and leaves heading back down.

Average decline. The average decline for all chart pattern types is 14.9%, so the Eve & Eve double top does a bit better than that.

Standard & Poor's 500 change. The index declined, and I believe it helped the double top show better performance. You can also look at this as how well the index did compared to the double top. Both use the same dates from the double top: breakout to ultimate low. The double top performed four times as well as the index, on average.

Days to ultimate low. It took about 2 months for price to reach the ultimate low after the breakout. You may wish to compare the 16% drop in 2 months with other investments to see if they perform as well. However, these numbers are for perfect trades and are an average, so you mileage may vary.

How many change trend? This is my attempt to create a gauge for how trendy a pattern is. I counted how often price fell more than 20% from the breakout. That's not a good definition of trendy, however. Even so, Eve & Eve ranks 12 out of 36 where 1 is best, so this chart pattern performs well.

Table 33.2 General Statistics

Description	Down Breakout
Number found	942
Reversal (R), continuation (C) occurrence	100% R
Average decline	−16%
Standard & Poor's 500 change	−4%
Days to ultimate low	56
How many change trend?	29%